

Resumption of US strikes aligns with basecase of Iran escalation

送信者: EG US Daily 受信日時: 2026-07-31 01:32

[【メール原文】](#)

Editorial note: EG's US daily will shift to a Tuesday and Thursday publication schedule for the month of August, beginning Monday 3 August. Resumption|||||||

US Daily

[Customize Email Preferences](#)

Resumption of US strikes aligns with basecase of Iran escalation

30 Jul 2026 12:31 EDT [Discover more on the Portal](#)

*

Resumption of US strikes aligns with basecase of Iran escalation

*

GOP turns up the heat, throws cold water on Blanche

*

Fed: 3D chess or Wishy Warshy?

Editorial note: EG's US daily will shift to a Tuesday and Thursday publication schedule for the month of August, beginning Monday 3 August.

Resumption of US strikes aligns with basecase of Iran escalation. The US launched strikes last evening in response to Iran's attacks in Jordan, maintaining a similar target set and scale to prior US strikes. The US strikes are in line with EG's base case of 55% odds of escalation in the US-Iran conflict.

*

Our base case for escalation runs through mid-September, and is driven by US desire to gain leverage against Iran in a negotiated resolution rather than to force re-opening through military action alone. Decreasing weapons stockpiles limit the duration of US escalatory action, with 1-2 weeks of US strikes likely the longest period supportable. Reports coming out of the Pentagon indicate CENTCOM planning aligns with this shorter duration for any potential action.

*

Re-opening the Strait of Hormuz through military action alone is unlikely, given the size, cost, time required, and the likely need for ground troops. Trump does not have the domestic political support or realistic window of opportunity for such an operation: under Trump 2.0, GOP leadership has been intensely critical of US involvement in so-called "forever wars."

*

The odds of de-escalation have risen from 15% to 25% driven primarily by Trump's public comments suggesting proximity to a deal and Omani diplomatic activity, and the need to move away from the current status quo — not by any confirmed shift in either side's core positions.

GOP turns up the heat, throws cold water on Blanche. The Senate Judiciary Committee canceled a vote today to consider Todd Blanche's nomination to serve as Attorney General, after committee members Sen. Thom Tillis (R-NC) and Sen. John Cornyn (R-TX) indicated they would withhold support until a deal is finalized to end Trump's IRS audit immunity and halt a proposed \$1.8 billion fund to repay individuals Trump claims were the targets of politically driven IRS audits.

*

Blanche's ability to stay in the role in an acting capacity opens the door for Trump to pull his current nomination—something Trump has already threatened to do--and it now appears unlikely he will be fully confirmed this year (40%).

*

If Trump does pull Blanche's current nomination, it would put the White House into essentially open conflict with the three GOP breakaways politically spurned by Trump—Sens. Thom Tillis (R-NC), John Cornyn (R-TX), and Bill Cassidy (R-LA)—potentially creating new headwinds for a defense supplemental to pay for the restarted Iran conflict.

*

While there is legal uncertainty around Blanche's ability to stay in the role long-term as an acting AG, it is unlikely to prove a major block on the White House. Under a strict reading of the Vacancies Act, Blanche is timed out on Oct 29, though the Trump administration could keep him in place so long as any nominee—including Blanche himself—is being considered. The White House could also argue that Blanche is positioned to fill a vacant Attorney General position by virtue of his confirmed role as Deputy Attorney General.

*

Whether as an acting Attorney General or fully confirmed, Blanche will likely serve as a Trump loyalist similar to the approach of former Attorney General Pam Bondi. Like Bondi, Blanche will likely face future frictions with Trump over his inability to successfully pursue aggressive legal action against the administration's chosen targets. For more, please see US Daily: Escalation likely as Iran sees a path to controlling Hormuz 16 July, 2026.

Fed: 3D chess or Wishy Warshy? Fed Governor Kevin Warsh got tighter financial conditions without a politically challenging hike. If his aim in the first two FOMC meetings he presided as Chair was to obtain higher rates while keeping the Fed out of Trump's crosshairs, that's 3D chess. How long it works without an actual hike is the open question.

*

Markets now price the first hike in December versus September before yesterday's meeting. An October move, days before the midterms, would be politically challenging and with few historical precedents (see Geoeconomics, United States: US midterms likely to shift expectations of Fed actions , 27 July).

*

The market has been doing part of the tightening for the Fed. Long-dated bond yields now sit 10-20 basis points above the spring 2025 peaks that helped push Trump into his tariff climbdown.

*

The driver was uncertainty about the Fed itself, not higher inflation expectations. The 10y10y forward — the market's expectation for interest rates in the long run — jumped 22bps to 6.15%; inflation expectations explain only a third of the move. The dollar fell as long yields rose, the sign of a risk premium move.

Quote of the Day

"He sees me as the person that's the impediment to some of the things he wants to get done. But as I continually point out... I don't make this stuff up. Math is math, arithmetic is arithmetic." — Senate Majority Leader John Thune (R-SD), quoted by Politico, on the pressure he feels from President Trump to pass the SAVE America Act. For more on the SAVE America Act's odds of passage, or lack thereof, please see: US Daily: Netanyahu and Zelensky focused on staying in Trump's good graces 28 July, 2026.

On the Radar

27 July – 28 August: House on recess

4 August: Michigan primary election

10 August – 11 September: Senate on recess

19 August: Section 338 tariffs on Canada go into effect

3 November: National midterm elections

Clayton Allen

Practice Head, United States

+1 202.903.0027

allen@eurasiagroup.net

Pietro Guglielmi

Senior Analyst, Geoeconomics

+44 207 375 6937

guglielmi@eurasiagroup.net

Kendal Walker

Senior Analyst, United States

walker@eurasiagroup.net

EG US Daily

unitedstates@eurasiagroup.net

© 2026 Eurasia Group. All rights reserved. This material was produced by Eurasia Group for use by the recipient. This is intended as general background research and is not intended to constitute advice on any particular commercial investment or trade matter or issue and should not be relied upon for such purposes. It is not to be made available to any person other than the recipient. No part of this publication may be reproduced, stored in a retrieval system, or transmitted in any form or by any means, electronic or otherwise, without the prior consent of Eurasia Group.

X-HG-DocID cms7qe8o6bb4107n2miavoezb

[Opt Out](#) | [Customize Email Preferences](#)